

Q3 2024

Custom
Managed
Portfolios

Beutel
Goodman
Structured Bond

Quick facts

Asset class:
Canadian Bonds

Management style:
Income¹

Number of holdings:
23

Sub-advisor:
Beutel Goodman

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
April 1, 1997



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	4.20%	4.90%	11.42%	0.84%	1.49%	1.98%	4.41%
Benchmark ⁵	4.10%	5.06%	10.89%	1.20%	1.59%	2.07%	4.14%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	5.92%	- 7.41%	- 2.08%	7.27%	4.24%	1.51%	0.64%
Benchmark ⁵	5.42%	- 6.23%	- 1.53%	6.12%	4.03%	1.91%	0.39%
Standard deviation	2.23%	Sortino ratio		1.95	Downside capture		109%
Sharpe ratio	1.26	Beta (Equity)		1.09	Upside capture		116%

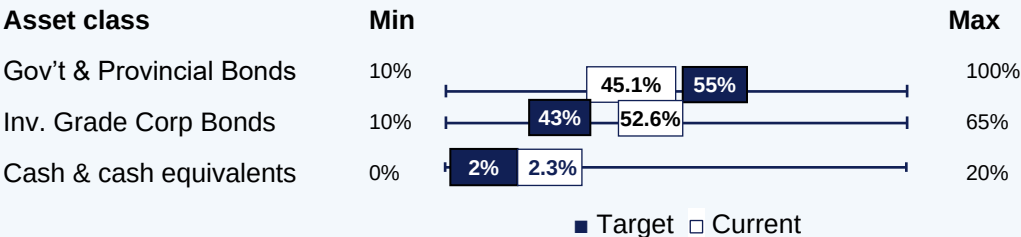
Largest holdings

1. ONTAR 3.650 06/02/33	11.6%	6. TD 3.105 04/22/30 '25	5.6%
2. CAGV 3.000 06/01/34	9.1%	7. RY 4.632 05/01/28	5.0%
3. CAGV 2.250 06/01/29	6.5%	8. TRP 3.800 04/05/27 '27	4.4%
4. BMO 1.758 03/10/26 '26	6.1%	9. H 1.410 10/15/27 '27	4.1%
5. BNS 1.850 11/02/26	6.0%	10. QUBPR 3.600 09/01/33	4.0%

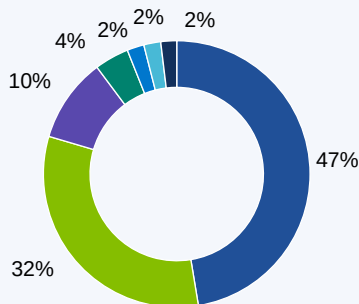
Portfolio attributes

Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average Current Yield	Portfolio turnover
3.69%	3.69%	A	4.2	3.04%	67%

Target allocations

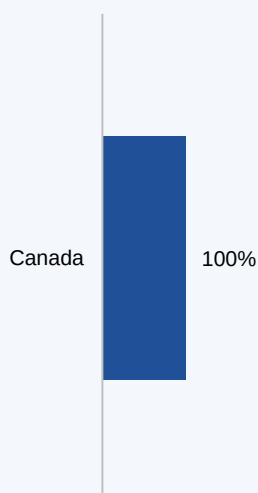


Sector breakdown



- Government Activity
- Financials
- Energy
- Utilities
- Technology
- Consumer Cyclicals
- Industrials

Geographic allocation



Quarterly commentary

Market Comment

Markets have been anticipating a rate cut by the U.S. Federal Reserve (Fed) for some time now and it finally arrived in Q3/2024. Fed Chair Jerome Powell's announcement in September that the target rate would come down was close to a foregone conclusion, although the size of the cut (50 bps, to a range of 4.75%–5.00%) was somewhat of a surprise. The Fed's decision likely reflects its concerns regarding the U.S. economy, particularly the consistent rise in the unemployment rate over the past year.

The Bank of Canada (BoC) has made three cuts in succession, bringing its policy rate to 4.25% at its September meeting. The job market is also a concern for the BoC, and with inflation returning to the central bank's 2% target in August, more rate cuts are expected in the coming months.

The Canada 10-Year Government Bond yield ended the quarter at 2.96%, compared to the 10-Year U.S. Treasury yield of 3.78%. As yields declined in both Canada and the U.S., the extreme differential between the two countries that we highlighted in our last quarterly commentary has narrowed, although it remains wide from a historical standpoint.

On rates, bond markets are currently pricing in a terminal rate (i.e., the level at which central banks end their cutting cycle) of 2.25%–2.50% in Canada and 3.00%–3.25% in the U.S. These ranges are significantly lower than terminal rate expectations at the end of the second quarter and provide evidence of how quickly market sentiment can change.

In credit markets, the release of weaker-than-expected economic data in the U.S. led to elevated market volatility at the beginning of August, which saw spreads widen during the month but tighten again in September. Despite some economic headwinds gathering in North America, spreads in both Canada and the U.S. remain relatively tight versus historical levels.

For Q3, the model's 55% FTSE Canada Short-Term & 45% FTSE Canada Mid-Term blended benchmark advanced by 4.30% on a total return basis. The Corporate, Provincial and Municipal sectors outperformed the blended benchmark with a return of 4.59%, 4.37% and 4.31%, respectively. The Federal sector underperformed with a return of 4.09%.

Portfolio Strategy

Given the uncertain investment landscape, we remain defensively positioned in our portfolios. We are holding mostly higher-rated credit, particularly in less cyclical sectors, but we are also ready to pivot if the economy slows and spreads move wider.

The higher-beta investment grade we currently hold is concentrated in the front end of the curve in shorter maturities (one- to five-year terms to maturity). This has the effect of increasing the average yield of our portfolio, while not materially increasing the credit risk due to the lower credit duration.

From an interest-rate-positioning perspective, we expect interest rates will continue to fall over the long term, so we are watching for potential opportunities to increase our duration position. We also believe that the yield curve will continue to steepen. The portfolio is therefore positioned with an overweight in the mid part of the curve, which tends to perform best during steepening environments.

Outlook

The economy could remain resilient in the next few quarters should lower yields stimulate consumer spending and housing markets. This resiliency would be considered a soft landing by central banks and would likely mean a slower pace of cuts in 2025. Should a soft landing not materialize, however, it is likely that central banks will accelerate their interest rate cuts, with a view to stimulating growth and protecting the labour market.

Amid growing turmoil in the Middle East, not to mention the upcoming U.S. elections, there are many factors that could impact the global economy and the policies of central banks. As BoC Governor Macklem recently stated, “we need to recognize that new uncertainties are a new reality, and we must be ready for the inevitable shocks in a more turbulent world.” With that in mind, it is our view that growth will continue to moderate in both Canada and the U.S., bringing inflation down and allowing central banks the runway to continue their cutting cycle.

In the credit space, new issuance has been elevated in 2024 and this continued in Q3, with increased demand stemming from significant flows into fixed income. We are also seeing some late-cycle indicators in the credit market, including increased M&A activity, cash building on balance sheets, margin compression, and job layoffs. Another late-stage indicator is first-time issuers preferring to fund in the unsecured bond market rather than through the secured bank loan market.

Credit spreads are tight, and the market appears to be pricing in a high probability of either a soft-landing or no-landing scenario for the economy and only a very low probability of a recessionary outcome. There is a little differentiation in spread levels between sectors and ratings, leaving the market susceptible to a repricing of risk.

Investment manager overview



Since 1967, Beutel Goodman has specialized in applying a value approach to the management of domestic and global equity, balanced and fixed income mandates for institutional and individual investors. Beutel Goodman operates as a private partnership through which 51% of the equity is owned by its operating principals. Affiliated Managers Group, Inc. (AMG), a publicly traded U.S. based asset management holding company, holds a minority 49% position. While Beutel Goodman's operating partners own 51% of the equity (in a voting trust), they have 100% operational autonomy and control of the firm.

Investment philosophy

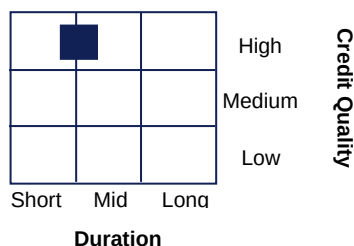
The Structured Bond Mandate is managed with the objective of providing a diversified tax-efficient fixed income portfolio for risk-averse investors. The manager is expected to generate some value added by holding securities with yields in excess of money market yields. The minimization of trading costs in the mandate is an important consideration. The mandate shall be of high quality and the minimal acceptable credit rating of any security in the mandate shall be 'A'.

Investment process and risk controls

As the focus of this mandate is to provide safety of capital and interest generation, trading in and out of bonds will be restricted to exceptional opportunities only. Essentially this is a buy-and-hold strategy with the following characteristics and constraints:

- Government guaranteed bonds are restricted to a minimum of 35% and a maximum of 100% of the mandate value
- No security shall exceed 10 years in term
- The Average Term To Maturity (ATM) of the mandate will be maintained within a range of approximately 4 to 6 years
- Up to 10% of the mandate may be held in short-term money market securities
- All investments will be limited to bonds issued in Canadian dollars.

Fixed Income style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Income: To generate a steady stream of income

² Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 65% FTSE Canada Short-Term Bond Index; 35% FTSE Canada Mid-Term Bond Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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